Atlas *Brief*

LOS ANGELES REAL ESTATE

REGULATORY INTELLIGENCE

MOST LA APARTMENT OWNERS ARE WATCHING THE WRONG THREAT

Death by a *thousand cuts.*

Costa-Hawkins is still standing. It survived three repeal votes. **The reset is being ground down anyway**, through a dozen smaller rules that never make the news.

THE SHORT VERSION

Four changes, one direction.

THE QUIET SQUEEZE

Rent ceiling	8% → 4%
Utility adders	Gone
Just cause	Expanded
SB 567	More lawsuit risk

One rule at a time. The building reprices.

The three laws above every LA apartment.

State, county, and city, in plain English.

REGULATORY INTELLIGENCE BRIEFING

The Three Laws Above Every LA Apartment

State, county, and city rules now stack three deep on the same building, and they changed more in the last eighteen months than in the prior twenty years. This is what each layer does, what just moved, and how it reprices what you own. Current as of July 2026.

The stack · What changed · The slow grind · What an operator does

WHY THIS BRIEFING EXISTS

Costa-Hawkins does not have to be repealed to hurt you.

Most owners are watching the wrong threat. They are waiting for the one headline vote that ends vacancy decontrol, the day the reset legally dies. It keeps not happening. Costa-Hawkins has now survived three repeal attempts, most recently Proposition 33 in November 2024, which failed 62 to 38.

Meanwhile the thing they are guarding against is happening anyway, quietly, through a dozen smaller rules. A just-cause requirement here. A relocation schedule there. A rent ceiling cut from eight percent to four. A utility pass-through eliminated. None of these makes the news. Together they do exactly what a repeal would do: they make the reset slow, expensive, and litigious enough that the building reprices before any single law formally changes.

> *The valuation hit does not wait for the legislature. It arrives the moment the practical ability to capture a reset gets ground down.*

That is the lens for everything that follows. Read each rule not as an isolated regulation but as one more cut. The question is never “did they repeal Costa-Hawkins.” It is “how much of the reset can I actually still capture, and what is that worth.”

THE STRUCTURE

Three layers govern one building.

The single most common and most expensive mistake in LA is applying the wrong layer. Your building answers to all three, and which one controls depends on its address and its age, not on where your office is.

LAYER 3 · STATE

California

AB 1482, Costa-Hawkins, the Ellis Act. Applies everywhere. Sets the floor beneath the local rules.

LAYER 2 · COUNTY

LA County RSTPO

Unincorporated areas only. Now stricter than the city, a reversal almost nobody has priced in.

LAYER 1 · CITY

LA City RSO + JCO

The big one. Pre-1978 buildings. The formula was just rewritten downward, effective July 2026.

One rule before any other

Jurisdiction follows the building's physical address, not your management company's. Pull the APN, check it on ZIMAS, and confirm the layer before you underwrite a single dollar. Florence-Graham looks like South LA but is unincorporated county. Getting this wrong misprices the whole deal.

WHAT'S INSIDE

Seven rules, three layers.

Each entry names the rule, what just moved, and what an operator does about it. Page numbers are live — the layer colour tells you which government you are dealing with.

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STATE · S1

AB 1482: the statewide ceiling, and the clock on it.

The Tenant Protection Act of 2019 is the floor beneath everything. It caps in-tenancy increases at five percent plus local inflation, to a hard maximum of ten percent. In the LA region that works out to **8.7 percent** for August 2026 through July 2027. It also imposes just-cause eviction after a tenant passes twelve months.

It is also the one major rent law with an expiration date, and that fact cuts both ways.

AB 1482

TENANT PROTECTION ACT OF 2019

WHO IT GOVERNS

Buildings more than **15 years old** (rolling) that are **not** under a stronger local ordinance. If RSO or RSTPO covers the building, that controls instead.

THE CAP

5% + CPI, max 10%. **8.7%** for the LA region right now.

EXEMPTIONS WORTH KNOWING

Single-family and condos owned by individuals with proper notice. New construction for its first **15 years**. This is why a new building holds pricing power the old stock cannot.

WHAT AN OPERATOR DOES

Treats AB 1482 as the **backstop, not the plan**. If a building is only protected from deep cuts by AB 1482 rather than exempt outright, underwrite the 15-year clock: the exemption ends, and the asset re-rates the year it does.

STATE · S1 · WHERE THE RISK IS

Two things can move AB 1482. Only one is likely.

Because AB 1482 is a statute, not a constitutional measure, it changes the way any statute changes: a bill through both houses of the legislature and the Governor's signature. No city can touch it. The Governor cannot touch it alone. That makes the risk slower and more visible than most owners assume, but it does not make it low.

The 2030 sunset

THE DATE ON THE CALENDAR THAT MATTERS

WHAT HAPPENS

AB 1482 **automatically expires January 1, 2030** unless the legislature renews it. Before then, the Legislative Analyst’s Office must file a report evaluating its effect on the housing market.

THE THREE OUTCOMES

Renewed as-is, **renewed tighter** (a lower cap, made permanent), or **allowed to lapse**. In today’s housing politics, lapse is the least likely of the three.

THE HONEST READ

The realistic risk is a lower cap, not freedom. Do not underwrite the sunset as a coming release from rent control. Underwrite it as the moment 5%+CPI could become 3%+CPI, or become permanent.

WHAT OWNERS HOPE 2030 MEANS

The cap goes away

↓

WHAT IT MORE LIKELY MEANS

The cap gets lower or permanent

And the tightening has already started without touching the cap at all. **SB 567**, effective April 2024, left the 5%-plus-CPI number alone but hardened everything around it. It created a **private right of action**, so a tenant can now sue an owner directly for a violation rather than waiting on an agency. And it rewrote the two evictions owners actually use to recover a unit:

The two recovery paths, now harder

SB 567 · EFFECTIVE APRIL 1, 2024

OWNER MOVE-IN

The owner or a close family member must actually move in and stay at least **12 months** as a primary residence. SB 567 tightened who qualifies and demands proof of genuine intent. Move in late, or not at all, and you owe damages and re-offer rights.

SUBSTANTIAL REMODEL

Now requires **pulled permits, a copy served on the tenant, and work that could not be done with the tenant in place**. Cosmetic upgrades no longer qualify. If the work does not begin, the tenant can be restored. This is where most no-fault notices now fail.

WHAT AN OPERATOR DOES

Treats a no-fault recovery as a **documented legal process, not a form**. Has the permits, the affidavit, and the timeline squared before serving a single notice, because the private right of action means the penalty for sloppiness is now a lawsuit, not a warning.

⚖ Where the risk actually sits

Low, near term: the cap number itself through 2029. It is set by formula and politically settled. **Real, by 2030:** renewal at a lower cap or as a permanent law. **Already here:** enforcement risk from SB 567's private right of action, which turns a paperwork error on a no-fault eviction into a lawsuit. The cap is stable. The cost of getting a unit back is not.

> *The number is the least of it. The right to be sued over a botched notice is the part that is live today.*

STATE · S2

Costa-Hawkins: the reset, and the slow grind against it.

This one law does most of the work holding up California apartment values. It guarantees two things: **vacancy decontrol**, meaning you can reset a unit to market when it turns over, and an **exemption for anything built after 1995** from local rent control. Every below-market building you have ever seen priced at a low cap is priced on the first promise.

It has survived every direct attack. **Proposition 33 failed in November 2024, 62 to 38**, the third repeal defeated at the ballot. The post-1995 premium is durable. If you were waiting for the repeal to be the moment, it keeps not coming.

⚠ The threat is not repeal. It is erosion.

The reset can survive on paper and still die in practice. Just-cause makes recovering a unit slower. Relocation makes it costlier. A tenant of fifteen years knows the process. When a turnover takes six months, costs twenty thousand dollars, and invites scrutiny, “I can technically reset” becomes “I can capture a fraction of the reset, eventually.” The building reprices to the fraction.

Costa-Hawkins

1995 · VACANCY DECONTROL + POST-1995 EXEMPTION

WHAT IT PROTECTS

The right to reset to market on turnover, and the exemption of post-1995 construction from local caps.

STATUS

Intact. Survived Prop 33 (2024), Prop 10 (2018), and prior efforts.

THE REAL RISK

Practical erosion, not legal repeal. Every rule that slows or taxes a turnover chips at the reset's real value without touching the statute.

WHAT AN OPERATOR DOES

Prices the reset at its **capturable** value, not its theoretical one. Assumes each turnover is slower and dearer than the last. Never pays full price for upside that a dozen smaller rules are already grinding down.

STATE · S3

The Ellis Act: the exit, priced in full.

The one thing no city can take away is your right to leave the rental business entirely. The Ellis Act lets you withdraw an entire building from the market. It is the pressure-release valve behind every rent-control regime, and it is expensive by design.

120d notice, or a full year if any tenant is 62+ or disabled

5yr no market-rate re-rental; constraints run up to 10

$26,550 top-tier relocation per unit, LA City 2026

The Ellis Act

1985 · GOV. CODE 7060

WHAT IT DOES

Lets you withdraw the whole building from rental use and clear every tenant. Not for-cause, not partial, all or nothing.

LA CITY RELOCATION

Per-unit relocation runs **$10,650 to $26,550** depending on the tenant. A 10-unit Ellis withdrawal routinely totals **$150,000 to $265,000** in relocation alone, before filing and legal.

THE LONG TAIL

No market re-rental for **5 years**; recorded constraints run with the land up to **10**. A buyer inherits every one of them.

WHAT AN OPERATOR DOES

Knows the Ellis number **before** buying, because it is the true floor on the exit. On a redevelopment play, it is a line item. On a stabilized hold, it is the cost of the only door that never locks.

COUNTY · C1

The county quietly became stricter than the city.

For decades the mental model was simple: the City of LA had the tough rent control, and the county was looser. As of 2025 that reversed, and almost nobody has repriced for it.

The County RSTPO now ties increases to sixty percent of inflation with a hard three percent ceiling. The city's new ceiling is four. **Unincorporated county is now the tightest major regime in the basin**, and buildings there carry a structural discount that 2024 intuition does not account for.

OLD MENTAL MODEL

County looser than city

↓

REALITY, 2026

County 3% ceiling
City 4% ceiling

County RSTPO

RENT STABILIZATION & TENANT PROTECTIONS ORDINANCE · COUNTY CODE TITLE 8, CH. 8.52

WHERE IT APPLIES

Unincorporated county only. East LA, Altadena, Ladera Heights, Marina del Rey, Hacienda Heights, Florence-Graham. Covers 2+ unit buildings, including converted garages and ADUs, built before Feb 1, 1995. Incorporated cities have their own rules.

THE CAP

60% of CPI, **max 3%**. Base 1.93% for 2025-26. Up to 2.93% if you self-certify as a small landlord (4 or fewer units) annually with DCBA. Up to 3.93% luxury. Two increases per 12 months is the absolute limit.

JUST CAUSE & RELOCATION

Just cause required after **12 months**. No-fault terminations trigger relocation, paid **per unit, not per tenant**. Qualified tenants (62+, disabled, terminally ill, or households with minor children) and lower-income tenants receive the higher amount.

NEW FOR 2026

Effective **April 16, 2026**, a nonpayment eviction requires past-due rent to exceed **two months** of Fair Market Rent, up from one. The bar to remove a non-paying tenant just went higher.

WHAT AN OPERATOR DOES

Confirms city versus county **first**, since it moves NOI trajectory and therefore price by hundreds of thousands. If small-landlord eligible, **self-certifies every year**, because missing the window strands you at the lower cap.

Where the mispricing lives

An owner in Florence-Graham assumes city RSO and underwrites a 4% ceiling. The real cap is 3%. Every year of the hold, the NOI trajectory is overstated. Multiply that gap across a decade and it is the difference between a good buy and an overpay.

COUNTY · C1 · THE DEEPER REVERSAL

The county is now the most *predictable* regime, too.

The stricter-than-the-city finding has a second half almost nobody has connected. The county ordinance is not just tighter, it is **permanent**, extended in 2023 and sitting quietly since. Meanwhile the city rewrote its entire RSO formula in December 2025, and the statewide law expires in 2030. Rank the three by how likely they are to change under you:

MOST STABLE

County RSTPO

Permanent since 2023. Untouched by the 2025-26 changes. The rules you buy under are the rules you hold under.

MOST VOLATILE

City RSO

Formula rewritten Dec 2025, ceiling halved, adders eliminated. The most actively changed regime in the basin.

UNCERTAIN

AB 1482

Sunsets Jan 2030. Likely renewed, possibly tighter. A known date with an unknown outcome.

> *The old rule was county-equals-looser. Both halves flipped. It is now stricter and steadier than the city at once.*

CITY · L1

The city just cut its rent formula in half.

This is the single biggest change of the cycle, and it is structural, not temporary. The old RSO formula tracked one hundred percent of inflation with a floor of three and a ceiling of eight. In December 2025 the council rewrote it. Starting July 2026 it tracks ninety percent of inflation, with a floor of one and a **ceiling of four**.

OLD FORMULA

100% CPI
3% floor / 8% ceiling

↓

NEW, JULY 2026

90% CPI
1% floor / 4% ceiling

The ceiling was halved. In a high-inflation year, where you once could take eight percent, you are now capped at four while your insurance and water compound faster than that. The utility pass-throughs and the dependent adder are gone too, eliminated in February 2026.

City RSO Increase Formula

REWRITTEN DEC 2025 · EFFECTIVE JULY 1, 2026

RIGHT NOW

Frozen at **3% flat** through June 30, 2027, then the new formula governs.

GOING FORWARD

90% of CPI, floor 1%, **ceiling 4%**. In a normal year, expect 2 to 3%.

ALSO GONE

The +1% gas and +1% electric master-meter adders, and the 10% dependent adder. **Eliminated Feb 2, 2026.**

WHAT AN OPERATOR DOES

Stops modeling the old 3-to-8 band. Underwrites RSO income growth at **the new ceiling or below**, and stress-tests the gap between capped income and uncapped costs. This is the squeeze, now formalized.

CITY · L2

What a turnover actually costs.

The reset is worth nothing if recovering the unit is slow and expensive. Two city rules set that price. The Just Cause Ordinance, effective January 2023, extended just-cause protection to non-RSO city units, so even your newer buildings now need a legal reason to end a tenancy. And every no-fault recovery triggers relocation.

$10,650 RSO relocation, eligible tenant under 3 yrs

$26,550 RSO relocation, qualified tenant, top tier

$43 per unit / yr SCEP registration

Just Cause + Relocation

JCO 2023 · RSO RELOCATION SCHEDULE

THE JCO REACH

Just-cause now covers **most non-RSO city units** too, kicking in at 6 months' tenancy or the end of the first lease. The erosion, made literal: protections extended past the pre-1978 line.

NO-FAULT RELOCATION

RSO: **$10,650 to $26,550** per unit, tiered by tenure, age, disability, income. Eligible tenants get $10,650 to $13,950; qualified tenants (62+, disabled, minor children) get $22,450 to $26,550. Paid **per unit, not per tenant**.

THE PROCESS

File a Declaration of Intent with LAHD, serve 30- and 60-day notices, pay relocation within 15 days. Annual RSO registration and the SCEP fee are mandatory.

WHAT AN OPERATOR DOES

Puts a **real dollar cost on every turnover** in the model, not a token number. A reset that nets its gain only after $15,000 of relocation and months of vacancy is a smaller reset than the rent roll implies.

CITY · L3

Measure ULA: the tax on the way out.

The last cut lands when you sell. Since April 2023 the city taxes the entire sale price above a threshold, and it is steep enough to reshape hold periods across the market.

TIER ONE

4%

of the full price above ~$5.4M

TIER TWO

5.5%

of the full price above ~$10.9M

Measure ULA

CITY TRANSFER TAX · SINCE APRIL 2023

THE TAX

4% on the **entire** price above ~$5.4M; **5.5%** above ~$10.9M. Not a marginal bracket, the whole price. It applies even to 1031 exchanges.

THE EFFECT

On an $11M sale, roughly **$605,000** gone at close. Combined with brokerage and closing, total exit cost runs past **10%**. It has pushed the market toward longer holds and frozen transaction volume.

WHAT AN OPERATOR DOES

Underwrites the **full exit cost on day one**, ULA included, and builds for a longer hold. A three-to-five-year flip rarely survives the exit math. This is a buy-and-hold regime now, by tax design.

PUTTING IT TOGETHER

Add the cuts up. That is the repricing.

No single rule on this list ends the business. Read together, they are a decade-long grind that does what a repeal would do, only slower and without a headline. The rent ceiling halved. The utility pass-throughs gone. Just-cause extended past the old line. Relocation on every turnover. A transfer tax on the exit. The county tighter than the city. Each is survivable. The sum reprices the asset.

> *You are not underwriting one law. You are underwriting the rate at which a dozen of them grind down what you can actually collect.*

This is the New York pattern, six years on. After HSTPA in 2019, the operators who survived were not the ones who guessed the politics. They were the ones who priced the erosion honestly, borrowed carefully, and bought on income they could actually keep. The playbook here is the same.

The operator's posture, in one line

Confirm the layer. Price the reset at what you can capture, not what the rent roll implies. Put a real cost on every turnover and the full tax on every exit. Then borrow little enough to hold through a decade of grind. Survive the cuts and you compound. That is the whole game.

HOW TO CHECK THIS YOURSELF

Every number here traces to an agency.

Rent law changes constantly, so the value of a briefing is not that you trust it, it is that you can verify it. Each layer has one authoritative source. Bookmark these three and you never have to take anyone's word, including ours.

The three sources of record

PRIMARY AGENCIES, NOT AGGREGATORS

CITY · RSO, JCO, RELOCATION

LAHD — housing.lacity.gov. The relocation schedule, no-fault reasons, and registration all live here. Phone (866) 557-7368.

COUNTY · RSTPO

DCBA — dcba.lacounty.gov. Cap, just-cause, relocation, and the rent registry for unincorporated areas. Phone (800) 593-8222. Ordinance: County Code Title 8, Ch. 8.52.

STATE · AB 1482, SB 567

California Civil Code 1946.2 (just cause) and 1947.12 (rent cap). Ellis Act is Gov. Code 7060. All on leginfo.legislature.ca.gov.

THE ONE VERIFICATION THAT MATTERS MOST

Before you underwrite, pull the **APN and check the address on ZIMAS**. It tells you the jurisdiction, the year built, and therefore which of these three layers controls. Everything else follows from that one lookup.

Atlas *Brief*

LOS ANGELES REAL ESTATE

Current as of July 2026 and built from public agency sources: LAHD, LA County DCBA, and the California statutes cited. Rent caps, relocation schedules, and ULA thresholds change at least annually, and each property's status must be confirmed on ZIMAS before you act. Educational material, not legal, tax, or investment advice. Consult your own advisors.